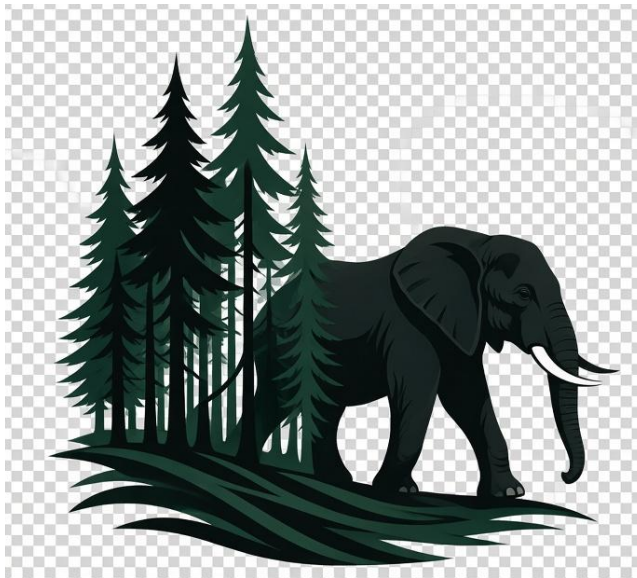


Test Of Sample A Maasai (Pastrolist) Business.



Maasai Pastoralist Business — Two-Unit Entry Plan

A working instruction sequence for two brothers running a pastoralist herd near Naivasha. This version restructures the unit economics to reflect what actually happens: the brothers live off the milk, sell cattle and goats to make up the difference, and their real wealth is the herd itself — a high- value asset portfolio that happens to walk around and eat grass.

If the business has been in exsistance since covid run,
a setting up new business where:

- the he and his brother herd once had 30 cattle 25 goats.
- beef is sold at 350 / kg (where a cattle is 120 kg on average)
- goat meat at 260/ kg (where a goat is 70 kg on average)
- goat meat at 80/ litre (where the {herd} cattle produces 20 litre on day)
- they sleep in hotel at 500 a night,
- (10000) provision for vets,
- and rely on 1000/ day each for meals and other costs
- they sell on average 3 cattle a month and 3 goats per fortnight to trusted butchers

they found out about the platform 3 months ago and want the business to show accurate data for the last 2 months because no-one can believe if it was 6 years of "fake" data.

The honest economics, stated upfront

These brothers are not running a dairy. They are managing a **living asset portfolio** that produces a small daily income (milk) which is never enough to cover their living costs. The shortfall is covered by periodically liquidating one asset (selling a goat or a cow to the butcher). Their real financial position is: modest monthly cash loss, enormous asset base.

This is exactly the shape a bank loan officer needs to see honestly:

- **HERD unit:** the brothers as managers. Milk income, living costs, phone, admin. Shows a monthly **loss** of roughly KES 22,000 — the gap between what the milk earns and what it costs to live.
- **CATTLE unit:** the herd as an asset register. Animal registrations at fair value, births (new assets appearing), deaths (assets lost), and periodic sales to the butcher. The cattle sales **cover the HERD loss** and produce the brothers' actual take-home income.

given that

- amount in the business is:

- bank (55000) - from recent sell added to existing amount
- mobile (15000) - for business
- cash (3000) - available as loose change for change and business use
- all this is running on an android phone (digital library) of 7000 and paid
 - 3000 for 6 month licence to use the accounting platform.
- #Business library of (10000) and
 - 50 daily
 - (30/ for 200 mb data)
 - (20/ for 30 sms)
 - used for sending receipt

Assumptions made explicit

- "He and his brother" are the two co-owners; both draw KES 1,000/day each for meals and living costs (KES 2,000/day combined, KES 60,000/month).
- The "digital library" (phone KES 7,000 + 6-month licence KES 3,000 = KES 10,000) is entered as: the phone as a genuine fixed Asset with depreciation, and the licence as a one-time Expense
 - This system has no prepaid/amortization mechanism for a multi-month licence yet, so amortizing it month-by-month isn't something the platform can actually do; recording it as a single upfront cost is the honest choice, not a rounding shortcut.
- Vet provision (KES 10,000) is entered as a Provision (IAS 37) — a real future obligation recognised now, not yet paid.
- Two months of backdated history means every transaction below needs its date set to a day within that window when you enter it — the platform posts to whichever period is currently open, so you'll need to open each historical trading day before posting into it (Step 2).

The accountant's job is to explain to the brothers (who don't need to understand double-entry) that their monthly living costs exceed their milk income by KES 22,000, and that every goat or cow they sell is them drawing down their own asset base to fund the gap — which is fine as long as the herd is growing (births exceed sales + deaths) and the fair value of the herd is rising.

Unit structure — what goes where and why

Item	Unit	Why
Milk sales	HERD	Milk sustains the brothers. It is the recurring income that pays for meals, lodging, and the phone. Putting it in HERD makes the management-cost gap visible.
Cattle/goat sales to butcher	CATTLE	Selling an animal is liquidating an asset. The proceeds go to CATTLE first, then transfer to HERD as needed.
Living costs, lodging, phone, data	HERD	Management overhead.
Animal registration	CATTLE	The animals are the asset base. Each registered

Item	Unit	Why
(fair value)		animal's fair value appears on the balance sheet under Biological Assets.
Vet costs, insurance	CATTLE	Protects and maintains the asset base.
Grazing/field access fees	CATTLE	A direct operating cost of keeping the herd alive.
Births	CATTLE	New assets appearing — IAS 41 fair value gain.
Deaths/theft	CATTLE	Assets lost — recorded as a loss against the herd's value.
Platform licence	HERD	Admin tool.
Phone (asset)	HERD	Management tool.

How animals are valued — registration as biological assets

Each animal is registered via **Organisation → Livestock → Register Animal** with a **fair value** — what this specific animal would realistically fetch at Naivasha market today, alive. This is the IAS 41 fair value model for biological assets: the herd's value is what the market would pay for it today, not what the brothers originally paid (which for bred animals is zero).

The question: HERD or CATTLE? The animals are registered in **CATTLE** because that is where births, deaths, reviews, and sales are tracked. But the balance sheet shows them business-wide — so when the accountant pulls the Asset Register Summary or the Balance Sheet, the full herd value appears regardless of which unit is active.

A herd of 20 cattle and 15 goats at these values has a total fair value of roughly **KES 1,000,000–1,500,000** — the brothers' real wealth. The monthly cash loss of KES 22,000 on the HERD P&L looks very different when the balance sheet shows over a million shillings in biological assets.

Fair value estimation

For a Maasai herd near Naivasha (adjust to actual market knowledge):

Animal	Estimated fair value (alive, at market)
Mature Zebu cow (breeding, lactating)	KES 60,000–80,000
Mature Zebu bull	KES 70,000–100,000
Heifer (1–2 years, not yet bred)	KES 35,000–50,000
Calf (under 1 year)	KES 15,000–25,000
Mature goat (breeding doe)	KES 8,000–12,000
Billy goat	KES 10,000–15,000
Kid (under 6 months)	KES 3,000–6,000

The sell-to-butcher cycle — asset disposal, not a shop sale

When the brothers sell a cow to the butcher, this is not a retail sale (Till → Sell). It is the **disposal of a biological asset** — the animal leaves the register, its fair value leaves the balance sheet, and the difference between the sale proceeds and the carrying value is a gain or loss.

The platform handles this through two steps:

1. **Record the sale:** Till → Sell (Beef, 120 kg @ KES 350 = KES 42,000). This posts the cash receipt and the revenue. Posted to **CATTLE**.
2. **Remove the animal from the register:** Organisation → Livestock → Record Loss (reason: "Sold to butcher [name]", type: DEATH_OR_SPOILAGE — the animal is no longer alive, regardless of the reason). This posts the fair value write-off against the Biological Assets account.

The net effect: KES 42,000 cash received, KES 60,000–80,000 fair value removed from the balance sheet. If the sale price is below the registered fair value, the difference is a **real loss** that appears on the P&L. This is honest: selling a cow worth KES 75,000 for KES 42,000 of meat means the brothers chose liquidity over value, which is exactly what periodic asset liquidation to fund living costs looks like.

Inter-unit transfer: the KES 42,000 sale proceeds sit in CATTLE's cash. The brothers transfer what they need to HERD via **Money → Funds → Transfer** (Cash or Mobile, CATTLE → HERD). This is not a "purchase" — it is the management entity drawing on the herd's earnings, exactly as it would be if the herd were a subsidiary and HERD were the holding company.

Grazing and field access fees

If the brothers pay for access to grazing land (a common arrangement in Naivasha's pastoral economy — ranchers charge per head per month, or a flat seasonal fee), this is a **CATTLE operating cost**:

Claims → Expenses → Other: KES 5,000/month (adjust to actual) Note: "Grazing access — [rancher name]'s field, [location], [number] head"

Unit: **CATTLE**

This reduces CATTLE's apparent profit and makes the unit economics more realistic: the herd doesn't graze for free.

Why two units

- HERD is the management layer — the two brothers as an economic entity. Their capital, their living costs, their lodging on herding trips, the phone that runs this platform, the platform licence, their drawings.
 - The question HERD answers:
what does it cost these two men to run this operation?
- CATTLE is the production layer — the animals. Registration, births, deaths, milk, carcass sales, vet costs, insurance on the herd.
 - The question CATTLE answers:
does the herd pay for itself?

Separating them forces both questions to be answerable independently. A SACCO loan officer will ask the second question first. A brother deciding whether to bring in a third partner needs the first.

The three cost-allocation decisions, made explicitly

1. The vet cost — posted to CATTLE, narrated for both

The vet treats animals. The cost of keeping animals alive is an operating cost of CATTLE. Posting it there means the HERD P&L stays clean (living costs, phone, admin) and CATTLE's P&L shows the true cost of production.

The platform scopes every P&L view to the active business unit, so a vet cost posted to CATTLE will not appear when viewing HERD. This is correct behaviour, not a missing entry. The whole-business Journal and Trial Balance show it regardless of which unit is active.

Add a Knowledge note when you post it (Step 9) so a successor or auditor reading the HERD P&L later understands why there is no vet line there.

2. The phone — posted to HERD

The phone runs the accounting platform, sends receipts, and coordinates with buyers and the vet. It is a management tool, not a cattle asset. HERD.

3. Insurance — posted to CATTLE

The herd is the insured asset. The premium belongs where the coverage sits.

Insurance vs provision — using both, deliberately

These protect against genuinely different risks and the platform now handles both cycles completely.

1. Provision (self-insurance) — for routine, predictable vet care. Deworming, vaccination, wound treatment. The brothers set aside KES 10,000 under IAS 37.
 - This is the honest accounting: the cost hits the P&L when the obligation arises, not when cash leaves, so a routine vet visit does not distort a month that was otherwise normal.
 2. Insurance — for catastrophic events.
 - Herd disease outbreak, drought loss, theft of multiple animals.
-

Step-by-step entry plan

Step 1 — Business setup

1. Sign up and create the business.
2. Organisation → Business: Industry = Agriculture / Livestock and Dairy, Type = Other, Country = Kenya, Currency = KES.
3. Business Units — create exactly two:
 - HERD — the brothers' management layer
 - CATTLE — the herd itself

On save, the platform seeds all Catalogue event definitions, accounting standards, and period-end checks for this business automatically. Visit Settings → Rules afterwards to confirm — every cycle event should show as a coloured chip against its governing standard.

Step 2 — Open the backdated trading days

Settings → Periods. Open each day in your two-month window, in date order, starting from the earliest. One period is shared across both units — you do not open separate periods per unit.

Note: the period-end checklist now runs when you close a period. A period with an out-of-balance Journal will refuse to close. This is intentional.

Step 3 — Opening capital (unit: HERD)

Switch to **HERD**.

Money → Funds → Owner Capital Injection,

dated Day 1:

Amount	Account	Note
KES 55,000	Bank	"Opening bank balance — recent cattle sale proceeds plus combined savings"
KES 15,000	Mobile Money	"Opening M-Pesa float"
KES 3,000	Cash / Till	"Opening cash — small bills for daily trading"

Total: KES 73,000

No inter-unit transfer at setup. The brothers start operations from HERD's cash. When CATTLE makes its first sale, the proceeds sit in CATTLE until they choose to transfer them to HERD.

Step 4 — Products and assets

Products (unit: CATTLE)

Product	Type	Price	Notes
Milk	Goods	KES 80/litre	Daily production, sold same day
Beef	Goods	KES 350/kg	Carcass sale, ~120 kg per animal
Goat Meat	Goods	KES 260/kg	~70 kg per goat
Cattle (Zebu/Cross)	Goods	—	For the biological asset register
Goat	Goods	—	For the biological asset register

Unit: HERD — Products page:

Product	Type	Price	Notes
Milk	Goods	KES 80/litre	Daily production, sustains the brothers

Asset (unit: HERD)

Assets → **Buy Asset**: Android Phone, KES 7,000, 3 years, Straight-Line.

Asset	Cost	Useful Life	Method	Payment
Android Phone	KES 7,000	3 years	Straight-Line	Cash or Mobile

Claims → **Expenses** → **Other**: KES 3,000, "6-month platform licence."

Note: "Digital library — runs the accounting platform, sends receipts to buyers, coordinates with the vet."

Depreciation on this is $\text{KES } 7,000 \div 36 = \text{KES } 194/\text{month}$. Run it monthly via Assets → Post Depreciation — the period-end checklist will warn you if you forget.

Step 5 — Register the herd (unit: CATTLE)

Organisation → Livestock → Register Animal for each animal worth tracking individually — breeding cows, bulls, high-value goats. Record tag, sex, birth date, and **fair value at today's market price** (use the table above as a guide).

After registration, the balance sheet will show the total herd fair value under Biological Assets — visible from both units. For each:

- Tag (ear tag number or the name the brothers actually use)

- Category: LIVESTOCK
- Sex: MALE or FEMALE (required — a birth can only be recorded against a FEMALE)
- Birth date if known
- Fair value — what this animal would realistically fetch at Naivasha market today. Even a rough figure is better than zero: this is the number used to compute the loss if the animal dies, and it feeds the insurance coverage ratio.
- Condition: GOOD / FAIR / POOR

Example registrations:

Tag	Product	Sex	Fair Value	Notes
COW-001	Cattle (Zebu)	FEMALE	KES 75,000	Breeding cow, 4 years, good condition
COW-002	Cattle (Zebu)	FEMALE	KES 65,000	Lactating, 3 years
BULL-001	Cattle (Zebu)	MALE	KES 90,000	Breeding bull, 5 years
GOAT-001	Goat	FEMALE	KES 10,000	Breeding doe, 2 years
GOAT-002	Goat	MALE	KES 12,000	Billy, 3 years
...	...	...	...	Continue for the full herd

Registration posts no Journal entry — entering the register is not the same event as acquiring the animal. A purchased animal goes through Assets or Expenses; a bred animal goes through recordBirth, which handles the IAS 41 gain.

Step 6 — Insurance and vet provision (unit: CATTLE)

6A — Livestock insurance policy:

- Insurance policy: KES 300,000 coverage, KES 18,000/year premium, HIGH risk.
- Vet provision: KES 10,000.
- Knowledge note explaining both are charged to CATTLE.

Claims → Risks & Insurance → Add Insurance **Policy**:

Field	Value
Policy name	"Livestock Cover — Naivasha Herd"
Coverage amount	KES 300,000 (replacement value of the herd at market)
Premium	KES 18,000/year
Risk level	HIGH — the herd is the brothers' primary livelihood asset
Risk note	"Covers death, drought loss, disease outbreak, and theft. Insurer: [name]. Policy ref: [number]"

Pay the first premium via Claims → Expenses → Insurance, selecting this policy from the "Which Policy?" dropdown. The premium links back to the policy record — this is the fix that closed the old gap where premiums floated free of the policy they paid for.

6B -- Vet provision

Claims --> Leases & Provisions \u2192 Add Provision:

- Amount: KES 10,000
- Description: "Provision for routine veterinary costs -- deworming, vaccination, wound treatment"

6C -- Knowledge note

Claims --> Knowledge, add:

"Insurance premium (KES 18,000/yr) and vet provision (KES 10,000) are both charged to CATTLE, since the herd is the insured and treated asset. Both brothers agreed this at the start of the season. The HERD unit therefore shows no vet or insurance line -- this is intentional, not a missing entry. Large or unexpected vet costs (disease outbreak, surgery) should trigger an insurance claim rather than additional provision."

Step 7 — Daily and recurring entries

1. Milk sale — HERD, daily

- Till → Sell: 18–22 litres Milk @ KES 80. Vary the quantity day to day. Payment: Cash or Mobile. Expected: ~KES 1,600/day, ~KES 48,000/month

2. Living costs — HERD, daily

- Claims → Expenses → Other: KES 2,000/day Note: "Meals and subsistence, both brothers" Expected: ~KES 60,000/month

3. Lodging — HERD, 3–4 nights/week when out with the herd

- Claims → Expenses → Other: KES 500/night Note: "Hotel — herding trip to [location]" Expected: ~15 nights/month = ~KES 7,500/month

4. Phone and data — HERD, batched weekly

- Claims → Expenses → Utilities: KES 350/week (KES 30/day data + KES 20/day SMS ≈ KES 50/day) Note: "Mobile data and SMS — receipts to buyers, vet coordination" Expected: ~KES 1,400/month

Step 8 — Periodic sales (unit: CATTLE)

Cattle sale — roughly every 10 days

Till → Sell: Beef, 120 kg @ KES 350 = KES 42,000 Payment: vary between Cash, Mobile, and Bank — butchers pay differently.

Note:

- "Sold to [butcher name] — weighed and paid on the spot" Expected: 3/month = ~KES 126,000/month
- Then remove the animal from the register: Organisation → Livestock → Record Loss (reason: "Sold to butcher [name]").

Goat sale — roughly every 5 days

Till → Sell: Goat Meat, 70 kg @ KES 260 = KES 18,200 Payment: Cash or Mobile
Expected: 6/month = ~KES 109,200/month

- Then remove the goat from the register.

Transfer to HERD as needed:

Money → Funds → Transfer, CATTLE → HERD, enough to cover the HERD shortfall.

Step 9 — One-time entries

Platform licence (unit: HERD)

Claims → Expenses → Other: KES 3,000 Note: "6-month accounting platform licence"

This is recorded as a single upfront expense, not amortised month-by-month. The platform has no prepaid-expense amortisation mechanism, so spreading it across six months is not something the system can actually do. Recording it as one cost is the honest choice.

Vet costs when they occur (unit: CATTLE)

This is a provision utilisation, not a fresh expense — the cost was already recognised in Step 6B.

Claims → Leases & Provisions → Utilise Provision:

- Select the KES 10,000 provision
- Amount: actual bill (e.g. KES 3,500 for deworming + vaccination)
- Payment: Cash or Mobile
- Result: provision drops to KES 6,500

If the bill exceeds the provision (e.g. emergency call-out at KES 15,000):

1. Utilise the full remaining provision first (draws it to zero)
2. Record the excess as a fresh Expenses → Other

3. Add a Knowledge note: "Emergency vet call exceeded provision by KES X. Review whether the insurance policy covers large veterinary events, or increase the provision next period."

Grazing fees (unit: CATTLE)

Claims → Expenses → Other: KES 5,000/month.

- Note: "Grazing access fee — [rancher]'s land, [head count] animals."

Step 10 — Livestock events (unit: CATTLE)

- Birth
Fair value the newborn at today's market price (e.g. KES 20,000 for a healthy calf). This is genuine IAS 41 income — new wealth appeared with no cash paid.

Organisation → Livestock → Record Birth:

- Link to the mother's register record (must be FEMALE)
- Tag the newborn
- Fair value — what a newborn calf would fetch today (even KES 5,000 is better than zero)

Posts DR Biological Assets CR Gain on Biological Assets. Under IAS 41 new stock appearing with no cash paid is genuine profit.

- Loss (death, disease, drought)
Record Loss, type DEATH_OR_SPOILAGE.

Organisation → Livestock → Record Loss:

- Type: DEATH_OR_SPOILAGE
- Reason: required — "East Coast Fever", "drought", "predation"

Posts DR Loss on Biological Assets CR Biological Assets at the animal's last recorded fair value.

- Theft
Record Loss, type THEFT (flags HIGH risk, separate P&L line).

Same route, type: THEFT. Posts to a separate Loss from Theft account and flags HIGH risk with an alert — theft has a different pattern significance than disease and the accounts are kept distinct deliberately.

- Insurance claim after a covered loss

If the loss is covered by the policy from Step 6A, record the payout once the insurer pays:

- Posts DR Bank CR Insurance Claim Income (4800) — genuinely income, not a reversal of the premium expense. The premium bought coverage; the claim is the coverage paying out.
- Add a Knowledge note: "Claim lodged [date] for [animal tag], settled [date], KES [amount] received. Policy ref [number]."

Step 11 — Month-end routine

Run these at the end of each month, in this order:

1. Post depreciation on the phone —
 - Assets → Post Depreciation (KES 194/month).
 - The checklist will warn if you skip this.
2. Verify stock quantities —
 - Compares system quantities against what the transaction record implies. Any discrepancy means stock moved outside the normal posting flow.
3. Review the Risk Position —
 - Claims → Risks & Insurance
 - Check the coverage ratio and whether the policy is nearing expiry.
4. Run the period-end checklist —

Six checks:

 - Journal balance (BLOCK),
 - depreciation run (WARN),
 - open receivables,
 - provisions reviewed,
 - insurance active,
 - stock count.
5. Close the period —
 - Settings → Periods → Close
 - The checklist runs automatically. A BLOCK-severity failure refuses closure and tells you exactly what to fix.

Sanity-check totals

CATTLE — monthly (the herd's economics)

Item	Amount
Cattle sales ($3 \times 42,000$)	+126,000
Goat sales ($6 \times 18,200$)	+109,200
Gross sales	+235,200
Grazing fees	−5,000
Insurance premium ($18,000 \div 12$)	−1,500

Item	Amount
Vet provision ($10,000 \div 3$)	-3,333
CATTLE operating costs	-9,833
CATTLE net before asset write-off	+225,367
Fair value write-off on sold animals (est.)	-200,000
CATTLE true net	~+25,367

Note:

The fair value write-off is genuine. Selling 3 cattle (fair value ~KES 75,000 each = KES 225,000) and 6 goats (fair value ~KES 10,000 each = KES 60,000) for KES 235,200 in meat proceeds means the brothers are converting KES 285,000 of walking assets into KES 235,200 of cash — a real economic loss of ~KES 50,000 per month on the asset conversion alone. This is hidden if you only look at cash flow.

HERD — monthly (what the brothers see as their "pay")

Item	Amount
Milk sales ($20L \times 80 \times 30$)	+48,000
Living costs ($2,000 \times 30$)	-60,000
Lodging ($\sim 15 \text{ nights} \times 500$)	-7,500
Phone/data (350×4)	-1,400
Phone depreciation	-194
HERD net (monthly)	-21,094

The brothers can see this clearly without understanding accounting: "The milk makes 48,000 but we spend about 69,000 to live. We're short about 21,000 every month."

Combined — the accountant's view

Line	Amount
HERD net	-21,094
CATTLE net (after write-offs)	+25,367
Combined net	~+4,273
Transfer from CATTLE to HERD (to cover shortfall)	~22,000
Each brother's share	
Cash available after costs	$\sim 235,200 - 9,833 - 69,094 = \sim 156,273$
Divided equally	~78,000 each
Less: sent home to family (~KES 50,000 each)	-50,000
Retained per brother	~28,000

But the accountant will point out: "You made KES 78,000 each in cash, but your herd lost roughly KES 50,000 in fair value from the animals you sold. Your real profit per brother is closer to **KES 28,000–39,000 depending on whether any calves were born this month**. Every birth adds KES 15,000–25,000 back to the balance sheet."

Roughly KES 278,000 generated by the herd against KES 70,000 in management and living costs. Genuinely profitable at this herd size, which is what real pastoralism at this scale looks like when the numbers are recorded honestly.

This is the conversation a bank officer needs to hear: the brothers are profitable, but their profitability depends on the herd replacing itself faster than they liquidate it.

What each view shows — designed for three audiences

What each view shows:

<u>View</u>	Content
<u>CATTLE P&L</u>	All sales, insurance, vet provision, births, deaths. The herd's real economics.
<u>HERD P&L</u>	Living costs, lodging, phone, licence, depreciation, capital. The management cost.
<u>Journal / Trial Balance</u>	Everything, both units combined.
<u>Risk Position</u>	Whole-business — policies and provisions regardless of active unit.
<u>Capital Position</u>	Whole-business — cash, capital, loans, investments.
<u>Asset Register Summary</u>	Whole-business — the phone appears here even when CATTLE is active.

The brothers (Manager / Cashier view)

They see the HERD P&L: milk sales, living costs, the gap. They see CATTLE sales totals. They do not need to understand depreciation, fair value write-offs, or equity. The numbers they care about: "how much did we make this month, how much can we send home, how much is left."

The vet cost appearing in the Journal but not in the HERD P&L is the system working as intended. The Knowledge note from Step 6C is what makes that legible to whoever reads these books next.

The accountant

Sees the combined Journal, Trial Balance, Balance Sheet (with the herd's full fair value under Biological Assets), the asset write-offs on every sale, the insurance coverage ratio, the provision drawdown, and the period- end checklist results. Can explain to the brothers why their cash profit is not the same as their economic profit.

The bank officer

Sees the Balance Sheet showing KES 1,000,000+ in biological assets, the Cash Flow statement showing positive operating cash flow, the Risk Position showing active insurance, and the succession plan (when recorded). Can assess the loan application against real collateral rather than just monthly sales figures.

Biological asset lifecycle — what the system tracks

Stage	Accounting
Birth/planting	DR Biological Assets CR Gain (IAS 41)
Growth	Fair value updated, no Journal entry
Adulthood	Reflected on balance sheet
Sale	Revenue recognised + asset removed
Death/theft	DR Loss CR Biological Assets
Harvest (crops)	DR Inventory CR Biological Assets

Value can move in both directions at any stage:

- **Appreciation:** a calf grows into a breeding cow — fair value rises from KES 20,000 to KES 75,000 over 2 years, captured through monthly reviews.
- **Depreciation:** meat spoils if not sold quickly, grain loses value in storage during surplus season. This is tracked through Resources quality and fair value updates.
- **Processing gain:** dry grain sold out of season at a premium, aged meat sold at a higher price. Captured through the sale price exceeding the recorded fair value.

What this plan cannot yet do

- **Formal payroll:**
if the brothers hire a permanent herder, the system records it as an expense, not a payroll with PAYE/NHIF/NSSF.
- **Inter-unit P&L consolidation:**
the accountant must manually combine the two unit P&Ls.
- **Seasonal fair value restatement:** the system tracks fair value per animal but does not automatically revalue the whole herd at period-end. Each animal must be reviewed individually.